

THE BIG GAPS



CREDIT PENETRATION IS VERY LOW IN THE COUNTRY, AND CONCENTRATED IN THE TOP 10 STATES



THE EASTERN, CENTRAL, AND NORTHEASTERN REGIONS HAVE LAGGED IN CREDIT FOR DECADES



DESPITE THE PRADHAN MANTRI JAN DHAN YOJANA, RURAL AND SEMI-URBAN AREAS STILL HAVE A CASH ECONOMY



CUSTOMISED PRODUCTS LIKE INSURANCE AND PENSION ARE NEEDED WITH A WEEKLY OR MONTHLY PREMIUM



THE BUSINESS CORRESPONDENT (BC) MODEL, AIMED AT PROVIDING FINANCIAL SERVICES TO THE UNBANKED, HAS BECOME UNVIABLE AS PRICES HAVEN'T BEEN REVISED IN MORE THAN A DECADE



NBFC-MFIs ARE CHARGING HIGH INTEREST RATES



NEW SMALL FINANCE BANKS ARE VACATING THE MICRO-LOAN SPACE

ing services. But this is not a unique situation. This is a situation that banks, non-banking financial companies (NBFCs), microfinance institutions (MFIs), and financial institutions grapple with in rural India, as 30 per cent of Indian villages are still hampered by financial illiteracy and poor connectivity. The task of serving them falls squarely on BCs, who bear the costs, even though their own viability hangs by a thread.

This situation exists not for want of trying; since Independence, governments have prioritised financial inclusion. Early efforts included nationalising banks, establishing co-operatives, lending to the priority sector, forming regional rural banks, the National Bank for Agriculture and Rural Development (Nabard), self-help groups (SHG), BCs, the establishment of the NBFC-MFI category, and granting specialised banking licences such as small finance bank (SFB) and payments bank.

These efforts gathered significant steam under the BJP-led NDA government. The Jan Dhan Yojana, launched in 2014, is a shining example of this, with a staggering 486.5 million bank accounts having been opened till 2022-23 that had a cumulative deposit balance of ₹1.98 lakh crore. That was followed by the Mudra loan initiative in 2015 to give small entrepreneurs a boost, handing out a whopping ₹3.82 lakh crore of outstanding loans by FY23. In 2015, the government also decided to issue differentiated banking licences to SFBs and payments banks, which have a combined balance sheet of more than ₹2 lakh crore now. The Reserve Bank of India (RBI), too, has been actively working towards this end. It is laying more emphasis on “usage” and “quality” of services than just “access to financial services”.

But financial inclusion isn't just about banking; it is wider, encompassing insurance, pension, savings accounts, credit, and more. And when seen from this perspective, there is still a mountain to climb. “Financial inclusion is definitely a contributor to the financial well-being of individuals and enterprises, but it is not the primary one. We need to focus on the financial well-being of individuals,” says Seema Prem, Co-founder and CEO of FIA Global, a corporate BC for commercial banks.

BANK-LED MODEL

Back in 2014, there was visible optimism that total financial inclusion was within reach. That August, a whopping 18 million bank accounts were opened in just one week under the Jan Dhan Yojana, a feat that merited an entry in the *Guinness World Records*.

But the actual work for banks starts after accounts